

2009 and 2019, ground beef experienced a 24% price increase and an average inflation rate of 2.4% per year. In other words, the same product ended up costing more due to the rate of inflation over that 10-year time frame. The cost change might seem minor, but over time and across various goods and services, these price increases can have a big impact on your purchasing power.

Now that you understand what inflation is, let's discuss its causes.

WHAT CAUSES INFLATION?

There are a number of reasons why inflation could happen, including the following three:

1. **Increased demand.** This occurs if the demand of goods and services from consumers causes the prices of said goods and services to go up.
2. **Increased costs.** This occurs if the costs to produce certain goods and services causes the prices of said goods and services to go up.
3. **Increased supply of cash.** This is where the increased supply of money in the economy (for instance, if the government decides to print more cash) can reduce the value of money since more of it is available.

Keep in mind that there are other factors that also contribute to inflation, like increased import prices that could cause imported goods and services to cost more, rising wages that could encourage people to spend more and increase demand, natural disasters that could cause temporary scarcity of goods and services and in turn raise prices, and even higher taxes that could cause people to spend less. The combination of these reasons (and others) are potential contributors to inflation occurring.

INFLATION IN THE UNITED STATES

Currently in the United States, the inflation rate has been at about 2% a year over the last several years. This means that every year the value of the dollar has declined by ~2%. The key words to note here are “every year.” To bring it closer to home, if you are just depositing your money into a